



United States
Attorney's Office
Middle District of North Carolina



Greensboro Laboratory and Owner Agree to Pay \$850,000 to Resolve Allegations of False Claims for Urine Drug Testing

Tuesday, January 28, 2025

For Immediate Release

U.S. Attorney's Office, Middle District of
North Carolina

GREENSBORO, N.C. – Substance Abuse Treatment Labs, located in Greensboro, and its owner, Paul Fribush, have agreed to pay \$850,000 to resolve civil allegations that it violated the False Claims Act by billing North Carolina Medicaid for medically unnecessary urine drug screening tests (UDT), announced Acting U.S. Attorney Randall Galyon.

The United States and the State of North Carolina alleged that, between January 2018 and January 2022, Substance Abuse Treatment Labs and Fribush submitted false claims for the highest level of urine drug testing to Medicaid. These claims, which reimbursed providers at the highest dollar amount for urine drug tests, were submitted to Medicaid despite clear signs that the tests were not medically necessary.

"Protecting taxpayer dollars used to provide medical benefits to those who need it most is essential to this Office's mission," said Acting United States Attorney Randall Galyon. "We will continue to identify and hold accountable those providers that seek to enrich themselves off taxpayers through submitting such false claims. I am thankful for our partnership with the North Carolina Attorney General's Office to assist us in this mission in pursuing justice on behalf of Medicaid."

"Submitting false claims to Medicaid undermines the program's integrity and wastes valuable taxpayer dollars," said Special Agent in Charge Kelly Blackmon of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "HHS-OIG remains dedicated to safeguarding the integrity of Medicare and Medicaid and protecting the people these programs serve."

The resolutions obtained in this matter were the result of a coordinated effort among the U.S. Attorney's Office for the Middle District of North Carolina; the Medicaid Investigations Division of the North Carolina Attorney General's Office; and the U.S. Department of Health and Human Services, Office of

Counsel to the Inspector General. The United States was represented by Assistant United States Attorney Rebecca Mayer and Special Assistant United States Attorney Matthew Petracca.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

###

Updated January 28, 2025

Component

[USAO - North Carolina, Middle](#)

Related Content

PRESS RELEASE

Nigerian Citizen and Three Other Individuals Sentenced in Connection with a \$1.7 Million Money Laundering Operation

August 5, 2026

PRESS RELEASE

Forsyth County Man Sentenced to 15 Years for Illegally Possessing a Firearm that was Used During a Highway Shooting Spree

July 28, 2026

PRESS RELEASE

**North Carolina Man Sentenced to 5 Years in Prison for Possession of a Firearm
in Furtherance of a Drug Trafficking Crime**

July 20, 2026



Middle District of North Carolina

Main Office:

